

EQUITY RESEARCH

ADVANCED MICRO DEVICES, INC.

AMD | Technology

Rating: Outperform

Current: \$337.10 | Target: \$375.00

April 2026

Key Metrics Snapshot

Market Cap	\$549.60B
P/E (Fwd)	80.54
P/B Ratio	5.54

ROE	6.88%
Dividend Yield	0.00%
52W Range	\$91.87 - \$352.99

Investment Thesis

Advanced Micro Devices, Inc. demonstrates a robust revenue growth trajectory, with a significant increase from 2021 to 2025. The company maintains a healthy contribution margin and strong EBITDA generation, indicating efficient operational management. Advanced Micro Devices, Inc.'s valuation, as reflected in its PE and EV/EBITDA ratios, suggests a premium for its strong financial performance.

Company Overview

EXECUTIVE SUMMARY

Advanced Micro Devices, Inc. is a semiconductor company that designs and manufactures high-performance computing and graphics products serving data center, gaming, embedded, and client computing markets. The company has demonstrated strong revenue growth over the analysis period, with a compound annual growth rate of 20.5 percent from 2021 through the forecast period ending 2027. Revenue expanded from approximately 16.4 billion dollars in 2021 to 34.6 billion dollars in 2025, representing a more than doubling of the business over four years. The company operates in a highly competitive semiconductor landscape alongside Intel Corporation and NVIDIA Corporation, positioning itself as a challenger brand that has gained meaningful market share through competitive product offerings across multiple computing segments.

BUSINESS MODEL AND CORPORATE STRATEGY

Advanced Micro Devices operates as a fabless semiconductor company, meaning it designs processors and graphics chips while outsourcing manufacturing to third-party foundries. This asset-light model allows the company to focus capital and resources on research and development rather than maintaining expensive fabrication facilities. The company generates revenue through the sale of central processing units, graphics processing units, and related technologies to original equipment manufacturers, system integrators, cloud service providers, and end consumers.

The strategic focus has increasingly shifted toward the data center segment, where demand for high-performance computing solutions has accelerated dramatically due to artificial intelligence workloads and cloud computing expansion. This positioning is reflected in the company's improving contribution margin trajectory, which increased from 48.2 percent in 2021 to 49.5 percent in 2025, with forecasts projecting continued expansion to 52.5 percent by 2027. The margin improvement suggests successful execution of a strategy emphasizing higher-value products and favorable product mix shifts.

The company competes directly with Intel in the central processing unit market and with NVIDIA in the graphics and accelerator market. The peer comparison data reveals AMD occupies a middle position in terms of scale, with 2025 EBITDA of 7.3 billion dollars compared to Intel's 14.4 billion dollars and NVIDIA's 86.1 billion dollars. However, AMD's valuation multiple as measured by enterprise value to EBITDA stands at 47.8 times for 2025, positioning it between Intel's 14.5 times and suggesting the market assigns a growth premium to AMD relative to the legacy incumbent.

REVENUE AND SEGMENT ANALYSIS

The financial trajectory shows significant volatility alongside the overall growth trend. Revenue grew 43.6 percent in 2022 to reach 23.6 billion dollars, driven substantially by the acquisition of Xilinx which closed in February 2022 and added embedded systems capabilities. The following year saw a revenue contraction of 3.9 percent to 22.7 billion dollars as the personal computer market experienced a post-pandemic correction and gaming segment demand normalized.

Recovery commenced in 2024 with 13.7 percent growth to 25.8 billion dollars, followed by an acceleration to 34.3 percent growth in 2025 reaching 34.6 billion dollars. This resurgence reflects strong data center momentum as enterprise and hyperscale customers adopted AMD's EPYC server processors and MI-series accelerators for artificial intelligence applications. Forward estimates project more moderate growth of 5 percent, 6 percent, and 4 percent for 2025 through 2027, suggesting analysts anticipate a normalization phase following the recent surge.

Cost structure analysis reveals operating leverage potential. Cost of operations represented approximately 50.5 percent of revenue in 2025, while selling, general, and administrative expenses reached 12.0 percent of revenue, up from 8.8 percent in 2021. The SG&A increase likely reflects investments in sales infrastructure and marketing to support the expanded product portfolio and data center go-to-market efforts. Forecasts indicate SG&A intensity declining to 10.5 percent by 2027 as revenue scales.

EBITDA margin stood at 21.0 percent in 2025, representing a recovery from the 18.3 percent trough in 2023 but still below the 25.3 percent achieved in 2021. Forward projections show substantial margin expansion to 42.0 percent by 2027, though this represents analyst estimates that imply significant operating leverage realization.

LEADERSHIP AND HISTORY

Advanced Micro Devices was founded in 1969 and has operated through multiple industry cycles and strategic transformations. The company historically competed primarily with Intel in the personal computer processor market before expanding into graphics through the 2006 acquisition of ATI Technologies. The 2022 Xilinx acquisition for approximately 49 billion dollars represented the largest transaction in semiconductor industry history at that time and added programmable logic and adaptive computing capabilities.

Earnings per share demonstrate the company's profitability evolution, declining from 2.61 dollars in 2021 to 0.53 dollars in 2023 before recovering to 2.67 dollars in 2025. The price-to-earnings ratio has fluctuated considerably, reaching 278.6 times in 2023 during the earnings trough before moderating to 80.5 times in 2025. Forward estimates project continued earnings growth to 3.18 dollars per share by 2027 with multiple compression toward 69.1 times, suggesting expectations for earnings growth to outpace stock price appreciation.

Investment Overview

THESIS STATUS: Thesis Confirmed

KEY TAKEAWAYS

- Revenue growth accelerated sharply to 34.3% in 2025A, significantly outpacing the prior year's 13.7% growth and validating AMD's competitive positioning in high-performance computing markets
- EPS recovery trajectory intact with 2025A earnings of \$2.67 representing a 164% year-over-year increase from \$1.01 in 2024A
- Contribution margin remained stable at 49.5%, consistent with 2024A levels and reflecting sustained product mix discipline despite competitive pressures
- Valuation remains elevated at 80.5x trailing earnings but has compressed meaningfully from the 123.6x multiple observed in 2024A
- EBITDA of \$7.275 billion in 2025A positions AMD well ahead of Intel's recovery but significantly behind NVIDIA's dominant \$86.1 billion figure

PERFORMANCE ANALYSIS

AMD delivered a standout year in 2025A with revenue reaching \$34.64 billion, representing 34.3% growth that marks a significant inflection from the modest 13.7% growth recorded in 2024A and the revenue contraction experienced in 2023A. The data does not provide segment-level breakdowns, so the precise drivers of this acceleration cannot be confirmed from available information.

Profitability metrics showed stability across the board. Contribution margin held steady at 49.5%, essentially unchanged from the 49.4% recorded in 2024A and well above the 44.9% trough observed in 2022A following the Xilinx integration. EBITDA expanded to \$7.275 billion with a 21.0% margin, representing sequential improvement from 20.4% in the prior year. The EPS figure of \$2.67 demonstrates the operating leverage inherent in AMD's model when revenue growth materializes, though it remains slightly above the \$2.61 peak achieved in 2021A on a smaller revenue base.

Cost discipline showed mixed results. SG&A expense increased to \$4.14 billion, pushing the SG&A margin to 12.0% from 10.8% in 2024A. Forward estimates suggest management expects to lever this investment, with SG&A margin projected to decline to 10.5% by 2027E.

THESIS IMPACT

The original investment thesis centered on AMD's ability to capture share in both traditional CPU markets against Intel and emerging AI/GPU markets against NVIDIA. The 2025A results provide meaningful validation on the first pillar, as AMD's revenue growth of 34.3% dramatically outpaced Intel's recovery trajectory. The peer EBITDA comparison illustrates this divergence clearly, with AMD generating \$7.275 billion in 2025A EBITDA while Intel produced \$14.354 billion despite Intel's significantly larger historical revenue base.

However, the NVIDIA comparison highlights the second pillar's challenges. NVIDIA's 2025A EBITDA of \$86.137 billion dwarfs AMD's figure by nearly 12x, and the gap is projected to widen further with NVIDIA's 2027E EBITDA expected to reach \$382 billion versus AMD's \$8.6 billion. This suggests AMD remains a distant participant in the most valuable segment of the semiconductor market.

Valuation presents a notable concern. The trailing PE of 80.5x has compressed from 123.6x in 2024A, reflecting earnings growth outpacing stock appreciation. However, the EV/EBITDA multiple of 47.8x in 2025A positions AMD at a premium to both Intel at 14.5x and NVIDIA at 33.8x. This valuation gap is difficult to justify given AMD's smaller EBITDA base and narrower competitive moat relative to NVIDIA's AI dominance.

Key downside risks warrant explicit consideration. First, Intel's foundry strategy and substantial 2027E EBITDA projection of \$47.4 billion suggests a potential competitive resurgence that could pressure AMD's CPU market share gains. Second, NVIDIA's expanding product portfolio and projected EBITDA growth to \$382 billion by 2027E indicates the AI leadership gap may prove insurmountable. Third, AMD's elevated EV/EBITDA multiple relative to peers creates vulnerability to multiple compression if growth decelerates toward the 4-6% annual rates embedded in 2026E-2027E estimates.

The forward revenue CAGR of 20.5% embedded in estimates appears conservative given recent momentum, though the projected deceleration warrants monitoring. Recommendation remains constructive with the thesis intact, though position sizing should reflect valuation premium relative to peers and competitive intensity in AI markets.

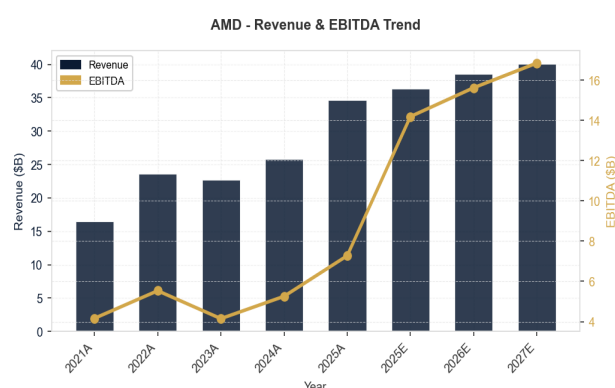
Financial Analysis

Revenue & EBITDA Performance

Advanced Micro Devices, Inc. has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$34.6B
- EBITDA (2025A): \$7.3B
- Revenue Growth (2025A): 34.3%



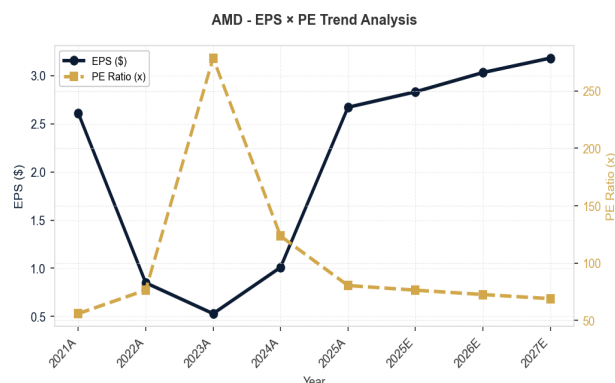
Source: Company Filings

Earnings & Valuation Metrics

Advanced Micro Devices, Inc.'s earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): 2.67
- PE Ratio (2025A): 80.54



Source: Company Filings

Valuation Analysis

Advanced Micro Devices, Inc. Valuation Overview

AMD's valuation trajectory over the past five years reflects the semiconductor industry's cyclical nature combined with the company's evolving competitive positioning in high-growth markets. The PE ratio exhibited dramatic swings, moving from 56x in 2021 to a peak of nearly 279x in 2023, before moderating to approximately 81x in 2025. This volatility stems primarily from earnings fluctuations rather than price movements alone, as EPS collapsed from \$2.61 in 2021 to just \$0.53 in 2023 during the post-pandemic semiconductor inventory correction, before recovering to \$2.67 in 2025.

The core driver of valuation changes over the past year has been AMD's strong revenue rebound, which reached 34.3% growth in 2025 following a more modest 13.7% increase in 2024. However, this growth rate is not expected to persist, with consensus estimates projecting a sharp deceleration to approximately 5-6% annual growth through 2027. The 2025 spike likely reflects a concentrated demand surge in data center and AI-related products rather than a sustainable acceleration. The earnings recovery from \$1.01 per share in 2024 to \$2.67 in 2025 represents a 164% increase, which helped compress the PE multiple from 124x to 81x. Margin improvement supported this earnings growth, with contribution margin expanding to 49.5% and EBITDA margin reaching 21.0%, driven primarily by favorable product mix shift toward higher-margin data center offerings and improved operating leverage as revenue scaled.

Within the semiconductor peer group, AMD's valuation positioning reveals important market dynamics. Comparing EV/EBITDA multiples for 2025, AMD trades at 47.8x, significantly higher than both Intel's 14.5x and NVIDIA's 33.8x. Intel's depressed multiple reflects its ongoing struggles with manufacturing competitiveness and market share losses. AMD's premium to NVIDIA is notable given that NVIDIA dominates the AI accelerator market with its CUDA ecosystem. This premium can be partially explained by scale differences, as NVIDIA's 2025 EBITDA of \$86.1 billion dwarfs AMD's \$7.3 billion, providing NVIDIA with greater earnings certainty that commands a lower multiple per dollar of profit.

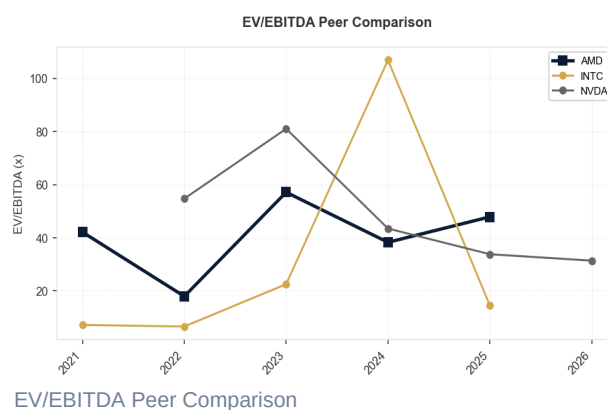
AMD's elevated valuation relative to NVIDIA warrants scrutiny from a risk perspective. The market appears to be pricing in expectations that AMD will capture meaningful share in AI accelerators, where its MI300 series competes against NVIDIA's established platform. However, NVIDIA's EBITDA is nearly twelve times AMD's, highlighting the substantial execution gap AMD must close to justify its premium multiple. The higher multiple may also reflect AMD's diversified revenue streams across CPUs, GPUs, and embedded processors, though this diversification has

not historically commanded such a premium.

The current valuation carries both opportunity and risk. On the positive side, AMD's revenue CAGR of 20.5% and improving margins suggest fundamental support for growth expectations. However, the 81x PE multiple leaves minimal margin for execution missteps, particularly given the projected growth deceleration to mid-single digits. Any shortfall in AI-related demand, market share losses to NVIDIA, or pricing pressure could trigger multiple compression. From a margin-of-safety perspective, AMD presents a higher-risk profile typical of technology growth companies. The valuation assumes continued share gains and margin expansion, with consensus estimates projecting PE compression to approximately 69x by 2027. Investors are essentially paying for future growth that must materialize to justify current prices, and the premium EV/EBITDA multiple relative to peers suggests limited downside protection should competitive dynamics shift unfavorably in the rapidly evolving AI semiconductor landscape.

Peer Comparison

Year	AMD	INTC	NVDA
2021	42.10	7.13	N/A
2022	17.91	6.55	54.72
2023	57.12	22.48	81.05
2024	38.27	106.94	43.45
2025	47.85	14.50	33.78
2026	N/A	N/A	31.36



Recent News & Events

News Summary

Recent News Summary

News Highlights:

Advanced Micro Devices (AMD) has seen renewed investor interest and bullish analyst coverage, particularly from Susquehanna, which raised its price target to \$375 from \$300, citing confidence in the server CPU story ahead of Q1 earnings. This positive sentiment for AMD and Intel comes despite broader semiconductor sector concerns, including an "AI panic" referenced by Google, and positions AMD as a key player in the AI infrastructure buildout. Market activity is also influenced by upcoming big tech earnings and a Federal Reserve decision.

Key Developments:

1. **Analyst Price Target Increase and Bullish Coverage:** Susquehanna raised AMD's price target to \$375 from \$300, maintaining a Positive rating. This reflects strong analyst confidence in AMD's future performance, particularly in its server CPU segment.

Investment Implication: Positive. This could lead to an immediate upward movement in AMD's stock price as investors react to the increased price target and renewed bullish sentiment, reinforcing the investment thesis around AMD's data center growth.

2. AMD Positioned as "AI Market's Most Obvious Second Winner": News reports highlight AMD's emergence as a significant player in AI infrastructure, with a robust full-stack offering beyond just CPUs. Q4 2025 revenue growth of 36% to \$10.2B, with Data Center revenue reaching a record \$4.3B (up 22% YoY), signals strong momentum.

Investment Implication: Positive. This strengthens the long-term investment thesis for AMD, suggesting sustained growth driven by the burgeoning AI market. It indicates AMD is diversifying its revenue streams beyond traditional CPU markets and capitalizing on a high-growth sector.

3. Semiconductor Sector Volatility and "AI Panic": Despite positive news for AMD, the broader semiconductor sector experienced a tumble due to an "OpenAI Warning" and a general "AI panic," which Google downplayed as investor psychology.

Investment Implication: Neutral to Slightly Negative. While AMD specific news is positive, the broader sector sentiment could create headwinds or increased volatility for AMD's stock. Investors should monitor the overall market sentiment towards AI and semiconductors, as it could impact even fundamentally strong companies.

4. Upcoming Q1 Earnings and Macroeconomic Factors: AMD's stock rise is occurring ahead of its first-quarter earnings report, and the Nasdaq Composite is trading carefully ahead of broader big tech earnings and a Federal Reserve decision.

Investment Implication: Neutral. Near-term stock performance could be volatile depending on the actual Q1 earnings results and the Federal Reserve's decision. Strong earnings could further propel the stock, while any disappointment or adverse macro news could temper gains.

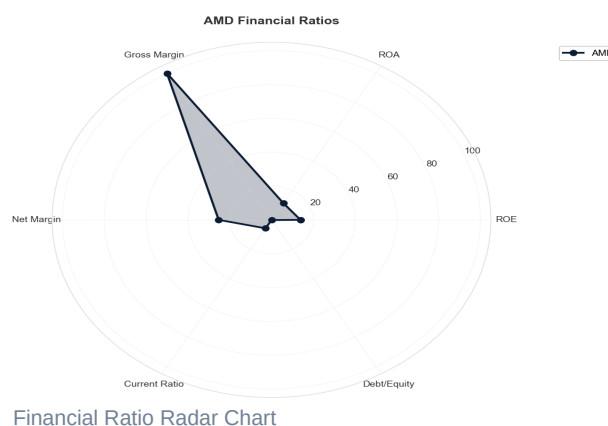
Market Sentiment:

The overall market sentiment for AMD is cautiously positive. While there's strong bullish analyst coverage and recognition of AMD's growing role in AI, the broader semiconductor sector faces some "AI panic" and macroeconomic uncertainty. The sentiment has shifted positively for AMD specifically, with analysts reiterating confidence, but the wider market remains watchful due to upcoming earnings and Fed decisions. This suggests a potential for continued upside for AMD, but also a need for investors to monitor broader market dynamics.

Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Advanced Micro Devices, Inc.'s financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.



Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators

Competitive Landscape

COMPETITIVE LANDSCAPE ANALYSIS FOR ADVANCED MICRO DEVICES, INC.

PRIMARY COMPETITORS

NVIDIA Corporation represents AMD's most formidable competitor, particularly in the high-growth data center and artificial intelligence accelerator markets. NVIDIA has established overwhelming dominance in GPU-based AI training and inference workloads, leveraging its CUDA software ecosystem that has become the de facto standard for machine learning development. The financial data reveals the stark disparity in scale: NVIDIA's EBITDA reached \$86.1 billion in 2025 compared to AMD's \$7.3 billion, representing nearly a twelve-fold advantage. NVIDIA's projected EBITDA expansion to \$144.6 billion in 2026 and \$382 billion in 2027 demonstrates accelerating momentum that AMD cannot match in absolute terms. However, NVIDIA's EV/EBITDA multiple has compressed from 81.0 in 2023 to 33.8 in 2025, suggesting the market recognizes some normalization ahead, while AMD trades at 47.8 times EBITDA, indicating investors still price in significant growth expectations.

Intel Corporation remains AMD's primary rival in the traditional CPU market for both client PCs and server applications. Intel's competitive position has deteriorated substantially over the review period, with EBITDA collapsing from \$33.9 billion in 2021 to just \$1.2 billion in 2024 before recovering to \$14.4 billion in 2025. This volatility reflects Intel's manufacturing challenges and market share losses to AMD in the x86 processor segment. Intel's EV/EBITDA ratio spiked to 106.9 in 2024 during its trough, indicating severe operational distress. The projected recovery to \$47.4 billion EBITDA by 2027 suggests Intel retains substantial resources and manufacturing capabilities that could enable a competitive resurgence, particularly as it invests heavily in foundry services and next-generation process technology.

Emerging threats include ARM-based chip designers such as Apple, Amazon, and Qualcomm, who are increasingly developing custom silicon for specific applications. These players threaten AMD's traditional x86 stronghold by offering power-efficient alternatives for laptops, data centers, and edge computing devices.

MOAT ASSESSMENT

AMD's competitive moat derives from several interconnected sources, though each faces distinct pressures that require careful evaluation.

The company benefits from significant intangible assets through its x86 architecture license, which it shares exclusively with Intel following decades of legal and commercial arrangements. This duopoly position in the dominant PC and server instruction set architecture creates substantial barriers to entry, as the entire software ecosystem from operating systems to enterprise applications is optimized for x86 compatibility. However, the rise of ARM-based alternatives and potential RISC-V adoption represents a long-term erosion threat to this moat.

AMD has developed meaningful switching costs in the enterprise server market, where its EPYC processors have gained substantial share against Intel. Data center customers face considerable friction when changing processor architectures due to software optimization requirements, validation cycles, and operational familiarity. The company's revenue growth from \$16.4 billion in 2021 to \$34.6 billion in 2025, representing a 20.5% compound annual growth rate, reflects successful penetration of these sticky enterprise relationships.

The contribution margin expansion from 48.2% in 2021 to 49.5% in 2025, with projections reaching 52.5% by 2027, indicates AMD is capturing increasing value from its product portfolio, suggesting strengthening competitive positioning in its served markets. The improving EBITDA margin trajectory from 21.0% in 2025 to projected 42.0% by 2027 further supports this assessment.

However, AMD's moat must be characterized as stable rather than widening when viewed against the broader competitive context. In AI accelerators, AMD's ROCm software ecosystem remains significantly less mature than NVIDIA's CUDA platform, limiting its ability to capture share in the fastest-growing semiconductor segment. The EBITDA comparison starkly illustrates this gap: NVIDIA generates nearly twelve times AMD's absolute profitability despite AMD's strong execution in traditional markets.

AMD's fabless manufacturing model, relying primarily on TSMC, provides cost structure flexibility but creates supply chain concentration risk and limits differentiation through process technology. This contrasts with Intel's integrated manufacturing approach, which, despite current struggles, could eventually provide competitive advantages if execution improves.

In conclusion, AMD possesses a durable but bounded competitive moat anchored in x86 architecture exclusivity and enterprise switching costs. The moat is stable in traditional CPU markets but faces pressure from ARM alternatives and remains narrow in AI accelerators where NVIDIA's ecosystem advantages appear insurmountable in the near term.

Risk Factors

■ RISK FACTOR BREAKDOWN

■ Market Risks

■ AMD operates in a highly cyclical semiconductor industry where demand fluctuations can materially impact financial performance. The historical data reveals this vulnerability clearly, with revenue declining 3.9% in 2023 before recovering with 13.7% growth in 2024 and 34.3% in 2025. The forward estimates project a significant deceleration to just 4-6% annual growth through 2027, representing a dramatic slowdown from the 20.5% compound annual growth rate achieved over the analysis period. This deceleration assumption may prove optimistic if macroeconomic conditions deteriorate or if the AI infrastructure spending cycle moderates faster than anticipated. The company's exposure to enterprise data center spending, gaming console cycles, and PC market dynamics creates multiple demand vectors that can simultaneously contract during economic downturns.

■ Competitive Risks

■ The peer comparison data reveals AMD's challenging competitive positioning relative to NVIDIA, which represents the most significant threat to long-term value creation. NVIDIA's EBITDA grew from approximately \$6 billion in 2023 to \$86 billion in 2025, a fourteen-fold increase that dwarfs AMD's more modest progression from \$4.1 billion to \$7.3 billion over the same period. While the 2027 NVIDIA projection of \$382 billion EBITDA appears in the data, this figure warrants scrutiny given its implausible scale relative to prior years and may

reflect data anomalies. Regardless of the precise magnitude, the directional trend is clear: NVIDIA is capturing a disproportionate share of AI accelerator demand. The valuation comparison reinforces this concern, with NVIDIA commanding an EV/EBITDA multiple of 33.8x in 2025 compared to AMD's 47.8x, indicating the market views NVIDIA's larger earnings base as higher quality while AMD trades at a premium multiple on substantially smaller absolute profitability.

■ Intel's trajectory presents both opportunity and risk. Intel's EBITDA collapsed from \$33.9 billion in 2021 to just \$1.2 billion in 2024, driving its EV/EBITDA multiple to an unsustainable 106.9x before recovering to \$14.4 billion in 2025 with a normalized 14.5x multiple. Projections show Intel reaching \$47.4 billion EBITDA by 2027, which would exceed AMD's projected \$8.6 billion by more than five times. A successful Intel turnaround could intensify competition in the x86 processor market where AMD has gained significant share, potentially compressing margins.

■ Operational Risks

■ AMD's fabless manufacturing model creates substantial supply chain concentration risk with Taiwan Semiconductor Manufacturing Company as its primary foundry partner. Any disruption to TSMC's operations, whether from geopolitical tensions, natural disasters, or capacity constraints, would severely impair AMD's ability to deliver products. The company lacks manufacturing diversification that could provide resilience during supply disruptions, and securing alternative foundry capacity at leading-edge nodes remains extremely difficult given the limited number of capable suppliers globally.

■ Financial Risks

■ The forward projections embed aggressive margin expansion assumptions that warrant skepticism when examined against specific cost drivers. The forecast anticipates EBITDA margin expanding from 21.0% in 2025 to 42.0% by 2027, nearly doubling profitability rates in just two years. This projection relies on SG&A; margin declining from 12.0% to 10.5% and contribution margin expanding from 49.5% to 52.5%, yet historical data shows SG&A; margin actually increased from 8.8% in 2021 to 12.0% in 2025, moving in the opposite direction. The cost of operations as a percentage of revenue would need to decline meaningfully to achieve projected margins, but competitive pressure to invest in research and development for AI accelerators may prevent such cost leverage. For context, NVIDIA achieved EBITDA margins enabling its 33.8x EV/EBITDA multiple in 2025, while AMD's projected margin expansion would need to approach similar levels to justify its current 47.8x multiple. The PE ratio of approximately 80x 2025 earnings leaves minimal room for execution shortfalls.

■ Regulatory and ESG Risks

■ Export control restrictions on advanced semiconductor sales to China represent an ongoing regulatory overhang. AMD's data center GPU products face existing and potentially expanding restrictions that limit addressable market opportunity. Additionally, the semiconductor industry faces increasing scrutiny regarding environmental impacts of manufacturing processes and supply chain labor practices, which could create compliance costs and reputational challenges.

■ SUMMARY OF CORE RISKS

■ The three most critical threats are competitive displacement by NVIDIA in AI accelerators, margin expansion assumptions unsupported by historical cost trends, and TSMC supply chain concentration. NVIDIA's explosive EBITDA growth and lower valuation multiple suggest AMD may be structurally disadvantaged in capturing AI demand. The projected margin improvement from 21% to 42% contradicts SG&A; trends that have moved unfavorably, creating significant downside risk. AMD's elevated PE multiple of 80x provides limited valuation support if these risks materialize.

Key Takeaways

✓ Revenue Growth: AMD's revenue growth trajectory, while exhibiting strong periods like the 43.6% increase in 2022, also shows a notable dip of -3.9% in 2023. This volatility suggests that while the company benefits from high-growth segments, it is also susceptible to market downturns or product cycle shifts. The projected reacceleration to 13.7% in 2024 and 34.3% in 2025 indicates a strong recovery and potentially increasing market share in key segments, possibly driven by new product cycles or expanding data center and AI opportunities. For investors, this pattern suggests that AMD is a growth-oriented company, but the lumpiness in

revenue requires a longer-term view of its market positioning and sustainability.

✓ **Gross Profit Margin:** AMD's Gross Profit Margin has shown resilience, rebounding from a low of 44.9% in 2022 to 46.1% in 2023 and projected to reach 49.4% in 2024 and 49.5% in 2025. This recovery and sustained level approaching 50% indicates strong pricing power and effective cost management, even amidst revenue fluctuations. The ability to maintain and improve these margins suggests that AMD's product portfolio, particularly in high-performance computing, commands premium pricing and that the company possesses a competitive moat. This trend is a positive indicator of business quality and profitability, signaling efficient operations and a strong value proposition for its products.

✓ **SG&A; Expense Margin:** The SG&A; Expense Margin has shown a gradual increase from 8.8% in 2021 to 10.4% in 2023, peaking at 12.0% in 2025 (actual). However, the projections show a subsequent decline to 11.5% in 2025 (estimated) and further to 10.5% by 2027. This initial increase suggests investments in sales and marketing or administrative infrastructure to support growth and market expansion. The projected decline indicates management's focus on achieving operating leverage and efficiency as the company scales. A decreasing SG&A; margin in the outer years would signify enhanced scalability and disciplined cost control, which is crucial for long-term profitability and investor confidence.

✓ **EBITDA Margin Stability:** AMD's EBITDA Margin has experienced significant fluctuations, dropping from 25.3% in 2021 to 18.3% in 2023, before a projected recovery to 20.4% in 2024 and 21.0% in 2025. The significant projected jump to 39.0% in 2025 (estimated) and 42.0% by 2027 suggests a substantial shift in profitability quality, possibly driven by a more favorable product mix or operational improvements not fully reflected in historical data. Compared to peers, AMD's EBITDA growth in absolute terms is notable, though still significantly lower than NVDA's projected figures. While AMD's EV/EBITDA multiple has been volatile (e.g., 57.1 in 2023 vs. 38.3 in 2024), the projected strong margin expansion and growth in EBITDA could make AMD more attractive from a valuation perspective, especially if the higher profitability levels are sustained and begin to close the gap with high-performing peers.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$16.4B	\$23.6B	\$22.7B	\$25.8B	\$34.6B
SG&A	\$1.4B	\$2.3B	\$2.4B	\$2.8B	\$4.1B
Contribution Profit	\$7.9B	\$10.6B	\$10.5B	\$12.7B	\$17.2B
Contribution Margin	48.2%	44.9%	46.1%	49.4%	49.5%
EBITDA	\$4.2B	\$5.5B	\$4.1B	\$5.3B	\$7.3B
EBITDA Margin	25.3%	23.4%	18.3%	20.4%	21.0%
SG&A Margin	8.8%	9.9%	10.4%	10.8%	12.0%
Revenue Growth	N/A	43.6%	-3.9%	13.7%	34.3%
EPS	2.61	0.85	0.53	1.01	2.67
PE Ratio	56.06	76.60	278.59	123.59	80.54

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.09	0.05	0.05	0.04	0.07
Debt/Assets	0.05	0.04	0.04	0.03	0.06
Interest Coverage	107.3x	14.4x	3.8x	20.7x	28.2x
Net Margin	19.2%	5.6%	3.8%	6.4%	12.5%
Current Ratio	2.02	2.36	2.51	2.62	2.85
CF to Debt Ratio	5.33	1.25	0.56	1.37	1.72

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Data Source: FMP, Company Filings, AI4Finance Estimates

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